Question #1 of 40

Question ID: 1675694

Nick O'Donnell, CFA, unsuspectingly joins the research team at Wickett & Co., an investment banking firm controlled by organized crime. None of the managers at Wickett are CFA Institute members. Because of his tenuous situation at Wickett, O'Donnell begins making preparations for independent practice. He knows he will be terminated if he informs management at Wickett that he is preparing to leave. Consequently, he determines that "if he can just hang on for one year, he will likely have a client base sufficient for him to strike out on his own." This action is:

A) a violation of his fiduciary duties. ✗

B) not a violation of his duty to employer. ✓

C) a violation of his duty to disclose conflicts to his employer. ✗

Explanation

O'Donnell is required to obtain consent from his employer if he is attempting to practice in competition with his employer. Merely undertaking preparations to leave, which do not violate a duty, is not a violation of the Code and Standards.

(Module 20.6, LOS 20: IV(A))

Question #2 of 40

Question ID: 1675692

Which of the following statements is *most correct* under the Code and Standards?

A) Consent from the employer is necessary to permit independent practice that could result in compensation or other benefits in competition with the member's employer. ✓

B) Members are prohibited from making arrangements or preparations to go into competitive business before terminating their relationship with their employer. ✗

C) CFA Institute members are prohibited from undertaking independent practice in competition with their employer. ✗

Explanation

Members are not prohibited from making arrangements or preparations to go into competitive business before terminating their relationship with their employer. CFA Institute members are not prohibited from undertaking independent practice in competition with their employer, provided they have consent from their employer. Members must provide notification to their employer describing the types of services to be rendered, the expected duration, and compensation for the services.

(Module 20.6, LOS 20: IV(A))

Question #3 of 40

Question ID: 1675707

Francisco Perez, CFA, is an equity research analyst for a long-term investment fund. The fund is seeking new clients, so Perez contacts old clients he knew through his former employer. Which of the following is *most accurate*?

A) Perez is not prevented from soliciting clients, as long as he is working from memory and publicly available information rather than a list generated while he was still with the former employer. ✓

B) Perez cannot solicit clients from a former employer. ✗

C) Perez can only solicit clients after notifying his former employer. ✗

Explanation

According to Standard IV(A), Perez is not prevented from soliciting clients, as long as he is working from memory and publicly available information rather than a list generated while he was still with the former employer.

(Module 20.6, LOS 20: IV(A))

Question #4 of 40

Question ID: 1675706

May Frost, CFA, is concerned about the comments and activities of several of her coworkers and feels both ethical and legal violations are routinely overlooked. According to the Code and Standards, a recommended first step would *least likely* be to:

A) review the company's policies and procedures for reporting ethical violations. ✗

B) provide her supervisor with a copy of the Code and Standards. ✗

C) contact industry regulators. ✓

Explanation

See Standard IV(A): Loyalty. Frost should begin by reviewing the company's policies and procedures for reporting ethical violations and provide her supervisor with a copy of the Code and Standards to highlight the high level of ethical conduct she is required to follow.

(Module 20.6, LOS 20: IV(A))

Question #5 of 40

Question ID: 1675730

Dixie Miller, a Level II CFA candidate, heads the research department of a large brokerage firm. The firm has many analysts, some of whom are subject to the CFA Institute Code of Ethics and Standards of Professional Conduct. If Miller delegates some of her supervisory duties, which statement *best* describes her responsibilities under the CFA Institute Code and Standards?

A) Miller retains supervisory responsibilities for those duties delegated to her subordinates. ✓

B) Miller's supervisory responsibilities do not apply to those subordinates who are not subject to the CFA Institute Code and Standards. ✗

C) CFA Institute Standards prevent Miller from delegating supervisory duties to subordinates. ✗

Explanation

Even though members may delegate supervisory duties, such delegation does not relieve members of the supervisory responsibility.

(Module 20.6, LOS 20: IV(C))

Question #6 of 40

Question ID: 1675713

Dan Lee, CFA, is a portfolio manager with Jewel Investment Advisors (Jewel). Doris Black, one of Lee's longtime clients, tells Lee that he can use her vacation home in Aspen, Colorado, for a week during skiing season if the return on her portfolio exceeds its benchmark by two percentage points during the next year. Black also offers to reimburse Lee and his wife for their transportation expenses to Aspen. Lee accepts this arrangement. According to CFA Institute Standards of Professional Conduct, what is Lee's obligation, if any, to disclose this arrangement to Jewel? Lee:

A) must disclose in writing the arrangement to use Black's vacation home, but not the reimbursement of expenses. ✗

B) need not disclose either the arrangement to use Black's vacation home or the reimbursement of expenses.

C) must disclose both the arrangement to use Black's vacation home and the reimbursement of expenses.

Explanation

Standard IV(B): Additional Compensation Arrangements requires that Lee disclose to Jewel in writing any extra monetary compensation or other benefits that he receives from outside the firm for his services.

(Module 20.6, LOS 20: IV(B))

Question #7 of 40

Question ID: 1675704

Dave Kline, CFA, is a personal investment advisor. After a dispute with a coworker on margin policy, he formally resigns his position by giving suitable notice. However, he does not follow his firm's established transition and exit policies regarding discussion of the reason for his departure. During his final two weeks of employment, Kline routinely discusses the margin policy dispute, stating, "Anyone who would lend that much money on securities of such low quality does not belong in this business." Kline's statements are in direct violation of the firm's transition and exit policies, but he considers it a free speech issue. Kline is *most likely*:

A) in violation of Standard IV(A): Loyalty recommended procedures for failing to follow the employer's policies and procedures related to termination policy.

B) not in violation of the Code and Standards.

C) in violation of Standard IV(A): Loyalty recommended procedures for failing to notify regulators of the dangerous margin policy.

Explanation

Kline is in violation of Standard IV(A): Loyalty recommended procedures for failing to follow the employer's policies and procedures related to termination policy. Members and candidates should understand and follow their employer's policies and operating procedures. Also, members and candidates planning to leave their current employer must continue to act in the employer's best interest.

(Module 20.6, LOS 20: IV(A))

Question #8 of 40

Question ID: 1675727

A firm recently hired Hal Crane, CFA, to be a supervisor in the firm. Crane has reviewed the procedures for complying with the Code and Standards in the company. It is Crane's belief that the procedures need revision to be effective. Crane must:

A) decline supervisory responsibilities in writing until the company adopts an adequate compliance system. ✓

B) make reasonable efforts to encourage the company to adopt an adequate compliance system. ✗

C) exercise his supervisory responsibilities with the greater level of diligence required by the Code and Standards. ✗

Explanation

According to Standard IV(C): Responsibilities of Supervisors, if Crane believes the company's compliance procedures are not adequate, Crane should decline supervisory responsibilities in writing until an adequate system is adopted.

(Module 20.6, LOS 20: IV(C))

Question #9 of 40

Question ID: 1675702

Nicholas Brynne, CFA, develops a trading model while working for CE Jones, an investment management firm. By working on the model at home from his personal computer, Brynne is able to devote additional work hours. Although the trading model is successful, Brynne loses his job in a company restructuring, and decides to start his own practice using the trading model. Nicholas is *most likely*:

A) in violation of the Standards because he did not receive permission from his employer to keep or use the files after employment ended. ✓

B) not in violation of the Standards because the trading model was created using his home computer. ✗

C) in violation of the Standards because he did not have permission to build the trading model using his home computer. ✗

Explanation

Brynne is in violation of Standard IV(A): Loyalty. Employer records include items stored in any medium, including home computers.

(Module 20.6, LOS 20: IV(A))

Question #10 of 40

Question ID: 1675695

Michel Marchant, CFA, recently became an independent money manager. After six months, he has only 10 clients, who are family and friends. To supplement his income, Marchant accepted part-time employment as an advisor at Middleton Financial Advisors. According to CFA Institute Standards of Professional Conduct, which of the following statements about Marchant's duty to his new employer is correct?

A) Marchant need not inform Middleton about his existing clients, but he must inform his existing clients about his new part-time employment at Middleton. ✗

B) Marchant must inform Middleton about his existing clients, but he need not inform his existing clients about his new part-time employment with Middleton. ✗

C) Marchant must inform Middleton to keep his existing clients and must inform his existing clients of his new part-time employment at Middleton. ✓

Explanation

Standard IV(A) and IV(B) requires that Marchant inform both Middleton and his existing clients.

(Module 20.6, LOS 20: IV(A))

Question #11 of 40

Question ID: 1675708

An analyst working at an investment firm has a client that provides income tax prep services for individuals. The client tells the analyst that as long as he is the client's analyst, he will prepare the analyst's income tax return free of charge. The analyst needs to:

A) inform his supervisor in writing of the offer. ✓

B) explicitly refuse such an offer. ✗

C) do nothing because the offer is not linked to the performance of the client's portfolio. ✗

Explanation

Standard IV(B): Additional Compensation Arrangements requires that members disclose to their employer, in writing, all benefits that they receive in addition to their regular compensation for services they perform on behalf of their employer.

(Module 20.6, LOS 20: IV(B))

Question #12 of 40

Question ID: 1675710

Jan Hirsh, CFA, is employed as manager of a college endowment fund. The college's endowment is held by the brokerage firm Advisors, Inc. Over the years, Hirsh has developed a solid relationship with Advisors. Because of this relationship, Advisors has given her their platinum-level service for her personal account. Advisors ordinarily gives the platinum level only to clients who do a minimum of $2,500 of commission business in a year. Hirsh has never reached the $2,500 commission level, and probably will never do so. According to Standard IV(B): Additional Compensation Arrangements, Hirsh needs to:

A) inform her supervisor verbally about the platinum account.

B) do none of the actions listed here.

C) inform her supervisor in writing about the platinum account.

Explanation

Having the platinum account is a benefit from her managing the endowment, which led to the relationship with Advisors. Members should report to their employers any additional compensation or benefits they receive for their services. This must be in writing. Doing $2,500 in business alone will not negate her obligation unless she explicitly tells Advisors that she is willing to accept whatever penalties accompany a platinum account when a client does less business.

(Module 20.6, LOS 20: IV(B))

Question #13 of 40

Question ID: 1675691

The following information concerns two analysts at Mega Securities Company (Mega):

- Mega recently hired Ron Anderson, CFA, who was previously an independent investment advisor. Anderson wants to keep his existing clients for himself and obtains written consent from Mega to do so. He also informed and received consent from his existing clients in writing about his new position at Mega.
- Brenda Ford, a CFA Institute member, has been a full-time analyst for Mega for 12 years. She recently started providing investment services, which compete with Mega, to private clients on her own time. Ford obtained written consent for this arrangement from her direct supervisor at Mega. Ford has not disclosed to each of her clients her employment at Mega.

According to CFA Institute Standards of Professional Conduct, have Anderson and Ford violated Standard IV: Duties to Employers?

A) Ford violated this Standard, but Anderson has not.

B) Neither Anderson nor Ford violated this Standard.

C) Anderson violated this Standard, but Ford has not.

Explanation

Standard IV(A) requires consent to enter into independent practice. Standard IV(B): Additional Compensation Arrangements states that no compensation may be accepted that may create a conflict of interest without written consent from all parties. Anderson received consent from all parties; Ford did not receive consent from her independent clients.

(Module 20.6, LOS 20: IV(A))

Question #14 of 40

Question ID: 1675696

Janet Thompson, CFA, is employed as an analyst by Nationwide Securities. According to CFA Institute Standards of Professional Conduct, which of the following statements about Thompson's duty to Nationwide is not correct? Thompson must refrain from:

A) engaging in any conduct that would injure Nationwide.

B) making arrangements to go into a competitive business before terminating her relationship with Nationwide.

C) engaging in independent competitive activity that could conflict with the business of Nationwide unless she receives written consent.

Explanation

Standard IV(A) permits Thompson to make preparations to go into a competitive business before terminating her relationship with Nationwide provided that such preparations do not breach her duty of loyalty.

(Module 20.6, LOS 20: IV(A))

Question #15 of 40

Question ID: 1675697

John Hill, CFA, has been working for Advisors, Inc., for eight years. Hill is about to start his own money management business and has given his two-week notice of his resignation from Advisors. A few days before his resignation takes effect, a former client of Advisors calls Hill at his home about his new firm. The former client says that he is very happy that Hill is leaving Advisors because now he and Hill can resume a professional relationship. The client says that he would never become a client of Advisors again. Hill promises to call the client back after he has left Advisors. Hill does not tell his employer about the call. Hill has *most likely:*

A) violated the Standard concerning disclosure of conflicts. ✗

B) violated the Standard concerning loyalty to employer. ✗

C) not violated the Standards. ✓

Explanation

Based on the information here, Hill has done nothing wrong. He took a call at his home, presumably on his own time, and the client made it clear that he would never be a client of Advisors. Therefore, there was no breach of loyalty to Advisors by Hill, nor is there a conflict of interest.

(Module 20.6, LOS 20: IV(A))

Question #16 of 40

Question ID: 1675721

The proper system for compliance with CFA Institute Standards and requirements:

A) should incorporate the professional conduct evaluation of the employees into their performance review only for those employees who are CFA charterholders. ✗

B) should incorporate the professional conduct evaluation of the employees into their performance review. ✓

C) cannot incorporate the professional conduct evaluation of the employees into their performance review, because not all of the employees are CFA charterholders. ✗

Explanation

Once a compliance system is established, it should prohibit all employees, including those who are not CFA charterholders, from violating CFA Institute Standards. The incorporation of the professional conduct evaluation into the employee's performance review is one of the recommended features of the compliance system.

(Module 20.6, LOS 20: IV(C))

Question #17 of 40

Question ID: 1675700

Sue Parsons, CFA, works full time as an investment advisor for the Malloy Group, an asset management firm. To help pay for her children's college expenses, Parsons wants to engage in independent practice in which she would advise individual clients on their portfolios. She would conduct these investment activities only on weekends. She is currently only in the preparation stage and has not started independent practice yet. Which of the following statements about Standard IV(A): Loyalty to Employer, is *most accurate*? Standard IV(A):

A) requires Parsons to obtain written consent from both Malloy and the persons from whom she undertakes independent practice. ✗

B) does not require Parsons to notify Malloy of preparing to undertake independent practice under the current conditions. ✓

C) requires Parsons to notify Malloy in writing about her intention to undertake an independent practice. ✗

Explanation

Standard IV(A): Loyalty to Employer requires that Parsons obtain written consent only from her employer before she undertakes independent practice that could result in compensation or other benefit in competition with Malloy. It is not required to get permission from your employer when only preparing to go into independent practice.

(Module 20.6, LOS 20: IV(A))

Question #18 of 40

Question ID: 1675693

An analyst belongs to a nationally recognized charitable organization, which requires dues for membership. The analyst has worked out a deal where he provides money management advice in lieu of paying dues. Which of the following must the analyst do?

A) Must treat the charitable organization as his employer. ✓

B) Resign from the position because the relationship is a conflict with the Standards. ✗

C) Nothing, because he is not an employee of the charitable organization. ✗

Explanation

An employee-employer relationship does not necessarily mean monetary compensation for services. If the analyst is performing services for the organization, then the analyst must treat the position as if he were an employee.

(Module 20.6, LOS 20: IV(A))

Question #19 of 40

Question ID: 1675729

Jess Green, CFA, is the research director for Castle Investment, Inc. (Castle), and has supervisory responsibility over eight analysts, including three CFA charterholders. Castle has a compliance program in place. According to CFA Institute Standards of Professional Conduct, which of the following is *least likely* an action that Green should take to adhere to the compliance procedures involving responsibilities of supervisors? Green should:

A) incorporate a professional conduct evaluation as part of the performance review only for the three CFA charterholders. ✓

B) issue periodic reminders of the procedures to all analysts under his supervision. ✗

C) disseminate the contents of the compliance program to the eight analysts. ✗

Explanation

Green should incorporate a professional conduct evaluation as part of his review of all eight analysts under his supervision, not just the three CFA charterholders.

(Module 20.6, LOS 20: IV(C))

Question #20 of 40

Question ID: 1675712

Jill Marsh, CFA, works for Advisors where she manages a portfolio for a wealthy family. Marsh earns 1% of the portfolio's value each year in the form of a commission from Advisors. The family just told her that any year the portfolio she manages earns more than a 10% return, the family will give her the use of the family's vacation home for one week. Marsh will comply with Standard IV(B): Additional Compensation Arrangements if she:

A) sends an email to her supervisor about the vacation home. ✓

B) delivers a typed memo to her supervisor about the vacation home the first time she uses it. ✗

C) does nothing with respect to this. ✗

Explanation

Standard IV(B) requires that members disclose to their employer in writing all benefits that they receive in addition to their regular compensation for services they perform on behalf of their employer. Email messages qualify. As long as the agreement is in effect, she must inform her employer, even if she has yet to use the potential benefit.

(Module 20.6, LOS 20: IV(B))

Question #21 of 40

Question ID: 1675711

An analyst working at an investment firm has a client who rents limousines. The client tells the analyst that as long as he is the client's analyst, he can have free use of a limousine several times a year. The analyst needs to:

A) explicitly refuse such an offer. ✗

B) inform his supervisor in writing of the offer if the analyst intends to accept the offer. ✓

C) do nothing because the offer is not linked to the performance of the client's portfolio. ✗

Explanation

Standard IV(B) requires that members disclose to their employer in writing all benefits that they receive in addition to their regular compensation for services they perform on behalf of their employer. They also need to get consent from their employer in writing. The written report to the employer should include the details of any written or oral agreement for extra compensation. The analyst does not have to refuse the offer.

(Module 20.6, LOS 20: IV(B))

Question #22 of 40

Question ID: 1675728

Martin Tripp, CFA, is vice president of the equity department at Walker Financial, a large money management firm. Of the 20 analysts in his department for whom he has supervisory responsibility, 8 are subject to CFA Institute Standards of Professional Conduct. Tripp believes that he cannot personally evaluate the conduct of the 20 analysts on a continuing basis. Therefore, he plans to delegate some of his supervisory duties to Sarah Green, who is subject to the Standards, and some to Bob Brown, who is not subject to the Standards. According to CFA Institute Standards of Professional Conduct, which of the following statements about Tripp's ability to delegate supervisory duties is *most accurate*?

A) Tripp may delegate some or all of his supervisory duties to Brown, even though Brown is not subject to the Standards. ✓

B) Tripp may delegate some or all of his supervisory duties only to Green because she is subject to the Standards. ✗

C) Tripp may not delegate any of his supervisory duties to either Green or Brown. ✗

Explanation

Standard IV(C): Responsibilities of Supervisors permits Tripp to delegate supervisory duties to Green, Brown, or both, but such delegation does not relieve Tripp of his supervisory responsibility.

(Module 20.6, LOS 20: IV(C))

Question #23 of 40

Question ID: 1675716

Jill Marsh, CFA, works for Advisors where she manages various portfolios. Marsh's godfather is an accountant and has done Marsh's tax returns every year as a birthday gift. Marsh's godfather has recently become a client of Advisors and asked specifically for Marsh to manage his account. To comply with Standard IV(B): Disclosure of Additional Compensation Arrangements, she needs to:

A) liquidate from her personal portfolio any stocks her godfather owns and verbally tell her supervisor about the tax services. ✗

B) neither have her godfather cease doing her taxes, nor liquidate from her personal portfolio any stocks her godfather owns and verbally tell her supervisor about the tax services. ✓

C) have her godfather cease doing her taxes. ✗

Explanation

Standard IV(B) requires that members disclose to their employer in writing all benefits that they receive in addition to their regular compensation for services they perform on behalf of their employer. It is not unreasonable for an individual's godfather to give them a birthday gift. Moreover, because the tax services were a regular birthday present before her godfather became a client, this implies that they are unrelated to any investment management services.

(Module 20.6, LOS 20: IV(B))

Question #24 of 40

Question ID: 1675718

Selma Brown, CFA, is a portfolio manager for Mainland Securities. Rick Wood, one of her clients and owner of Wood Fitness Centers, offers to permit Brown and her immediate family to use the facilities at his fitness centers at no cost during 2003. To get this benefit, Brown must achieve on Wood's portfolio at least a two-percentage-point return above the total return on the S&P's 500 Index during 2002. Brown orally informs her immediate supervisor of the nature and duration of the proposed arrangement.

Arnold Turley, a CFA Institute member, is a portfolio analyst at Mainland Securities. He was just elected to the board of directors for Omega Services, which pays him $1,000 plus expenses for attending each of its quarterly board meetings. Turley emails Mainland's compliance officer informing her of this arrangement with Omega and receives a reply informing him that the agreement is acceptable.

Did Brown or Turley violate CFA Institute Standards of Professional Conduct?

A) Brown did; Turley did not. ✓

B) Brown did; Turley did. ✗

C) Brown did not; Turley did not. ✗

Explanation

Brown violated Standard IV(B): Additional Compensation Arrangements because she must disclose *in writing* other benefits to be received for services that are in addition to compensation conferred by her employer. Turley did not violate Standard IV(B) because he received consent from his employer in writing, which includes email.

(Module 20.6, LOS 20: IV(B))

Question #25 of 40

Question ID: 1675723

A manager has pointed out that his firm has experienced significant expansion over the past few years. Until recently, its legal department was responsible for the firm's compliance activities. Now, however, the legal and compliance functions have been separated. A compliance officer has been formally designated, and a comprehensive compliance program has been put in place.

To function effectively, the compliance officer must have the authority:

A) to hire and fire personnel. ✗

B) that is consistent with the most senior partner or executive officer in the firm. ✗

C) to affect, control, and guide employee behavior and to respond to employee misconduct. ✓

Explanation

Compliance officers must be able to guide employee behavior and respond to employee misconduct; otherwise, there will be no effective compliance procedures in place. Unless the compliance officer can effectuate compliance procedures, the compliance program has no chance of responding to or preventing violations of the Standards.

(Module 20.6, LOS 20: IV(C))

Question #26 of 40

Question ID: 1675705

May Frost, CFA, is an equity research analyst for a precious metals mining exchange-traded fund that has recently started significantly outperforming its benchmark after several years of stagnation. Upon investigating the source of the outperformance, Frost learns that the fund has experienced severe style drift, and now has a significant proportion of its resources invested in technology and internet stocks. Frost reviews the fund's prospectus and learns the current sector weighting violates multiple prospectus covenants. Frost contacts her supervisor and the fund's compliance department and is told the portfolio weighting is not her responsibility, and that she should not pursue the matter further. Frost reviews the firm's whistleblower policy, contacts personal legal counsel, and then contacts regulatory authorities regarding the style drift and prospectus violations. Frost is *most likely*:

A) not in violation of the Code and Standards.

B) in violation of Standard III(E): Preservation of Confidentiality.

C) in violation of Standard IV(A): Loyalty.

Explanation

Standard IV(A): Loyalty does not necessarily prohibit Frost from whistleblowing actions. Frost has properly contacted her supervisor and the compliance department, and has reviewed her firm's whistleblower policy.

(Module 20.6, LOS 20: IV(A))

Question #27 of 40

Question ID: 1675726

For years, John Berger, a CFA charterholder and CEO of a company, relied upon a set of reasonable procedures for preventing violations of the Standards of Practice in the firm. The company has recently arranged to have members of CFA Institute as midlevel supervisors throughout the firm. With this arrangement, Berger has delegated the supervision of employees with respect to the Code and Standards to the midlevel managers. With this action, Berger:

A) has violated Standard IV(C): Responsibilities of Supervisors. ✗

B) is still responsible for seeing that procedures are in place to prevent violations of the Code and Standards. ✓

C) is relieved of his obligation to supervise the employees under the midlevel supervisors. ✗

Explanation

Berger has not violated any of the Standards. He has the right to delegate supervisory duties. This delegation does not relieve him of the responsibility of making sure that procedures are in place to prevent violations of the Code and Standards.

(Module 20.6, LOS 20: IV(C))

Question #28 of 40

Question ID: 1675715

David Saul, CFA, heads the trust department at Savage National Bank. Fairway Enterprises is a financial institution and it invites Saul to sit on its board of directors. The commitment to the board position requires several hours of Saul's time each week, including meetings and paperwork. In return for his services on the Board, Fairway offers to provide Saul and his family with access to the facilities at Wilmont Country Club at no cost. Saul will not receive any monetary compensation for his services on the board. According to CFA Institute Standards of Professional Conduct, which of the following actions must Saul take?

A) Saul must disclose in writing to Savage Bank the terms of the offer whether or not he accepts the offer to serve on the board of directors. ✗

B) Saul must reject the offer to serve on the board of directors. ✗

C) Saul must obtain written consent from Savage Bank and Fairway Enterprises if he decides to accept the offer to serve on the board of directors. ✓

Explanation

Standard IV(B) requires that members obtain written consent from all parties involved before accepting monetary compensation or other benefits that they receive for their services that are in addition to compensation or benefits conferred by a member's employer and either compete with or might reasonably be expected to create a conflict of interest with their employer's interest. The phrase *all parties* is referring to Saul's employer and Fairway's board of directors.

(Module 20.6, LOS 20: IV(B))

Question #29 of 40

Question ID: 1675699

John Hill, CFA, has been working for Advisors, Inc., for eight years. Hill is about to start his own money management business and has given his two-week notice of his resignation from Advisors. A few days before his resignation takes effect, on his lunch hour, he takes out a loan from a bank on behalf of his new business and uses the money to buy some office equipment for his new business. Because he engaged in these transactions while still an employee of Advisors, Hill violated Standard IV(A): Loyalty to Employer by:

A) breaching his duty of loyalty to his current employer by making preparations to go into a competitive business. ✗

B) neither taking out the loan nor buying the equipment. ✓

C) preparing to undertake independent practice before giving notice to his current employer of his intent to resign. ✗

Explanation

The Standards of Practice under IV(A) states that a departing employee is "generally free to make arrangements or preparations to go into a competitive business before terminating the relationship with the employee's employer, provided that such preparations do not breach the employee's duty of loyalty." Neither of these actions are in conflict with the interests of Advisors, and Hill performed them on his own time.

(Module 20.6, LOS 20: IV(A))

Question #30 of 40

Question ID: 1675724

Wanda Kirby, CFA, recently joined Allegheny Investments as a senior analyst. Because of her extensive experience in the investments business and knowledge of the Code and Standards, Allegheny's management asked her to assume supervisory responsibility. Kirby reviewed Allegheny's existing compliance system and determined that it was inadequate to allow her to clearly discharge her supervisory responsibility. According to CFA Institute Standards, Kirby should:

A) decline in writing to accept supervisory responsibility until Allegheny adopts reasonable procedures to allow her to adequately exercise such responsibility. ✓

B) agree to accept supervisory responsibility provided that Allegheny adopts reasonable procedures to allow her to adequately exercise such responsibility. ✗

C) agree to accept supervisory responsibility and to develop reasonable procedures to allow her to adequately exercise such responsibility. ✗

Explanation

If Kirby clearly cannot discharge supervisory responsibilities because of an inadequate compliance system, she should decline in writing to accept supervisory responsibility until Allegheny adopts reasonable procedures to allow her to adequately exercise such responsibility.

(Module 20.6, LOS 20: IV(C))

Question #31 of 40

Question ID: 1675703

Dave Kline, CFA, is a personal investment advisor with 200 individual, family, and corporate accounts. After a dispute with a coworker on margin policy, he formally resigns his position by giving suitable notice. However, he does not follow his firm's established transition and exit policies regarding his accounts. The firm's stated policies require him to notify each client of his planned departure and personally introduce them to their new account representative, Greg Potter. Kline sees Potter as a rival and states, "Let Potter do his own work and find his own clients." Kline is *most likely*:

A) not in violation of the Code and Standards. ✗

B) in violation of Standard IV(A): Loyalty for failing to follow the employer's policies and procedures related to notifying clients of his departure. ✓

C) in violation of Standard I(D): Misconduct for leaving clients subject to an account representative who he does not find suitable. ✗

Explanation

Kline is in violation of Standard IV(A): Loyalty for failing to follow the employer's policies and procedures related to notifying clients of his departure.

(Module 20.6, LOS 20: IV(A))

Question #32 of 40

Question ID: 1675722

A firm recently hired Viola Sandoval, CFA, to be a managing supervisor in the firm. Sandoval knows that all of her subordinate supervisors are members of CFA Institute, and the firm has a compliance system in place with respect to the Code and Standards. Under these conditions, Sandoval needs to:

A) immediately implement a new compliance system. ✗

B) review the compliance system for its adequacy. ✓

C) rely on the current compliance system because the subordinate supervisors are subject to the Code and Standards. ✗

Explanation

According to Standard IV(C): Responsibilities of Supervisors, Sandoval must make reasonable efforts to detect violations of the law, rules, regulations, and Code and Standards. This responsibility is not eliminated because Sandoval's subordinates are CFA Institute members. Sandoval should review the compliance system and report any inadequacies to senior management.

(Module 20.6, LOS 20: IV(C))

Question #33 of 40

Question ID: 1675701

Nancy Korthauer, CFA, has launched a new hedge fund called the Korthauer Tautology Fund but has had trouble hiring analysts who are CFA charterholders as well as with finding clients. She offers a $15,000 incentive bonus to any charterholder who joins the firm with over $1 million in committed client investments. Which of the following interpretations of the Code and Standards is *most accurate*?

A) A member or candidate may not solicit current clients away from their current employer. ✓

B) A member or candidate may arrange for current clients to switch to the Korthauer Tautology Fund, provided the member or candidate refuses to accept the incentive bonus. ✗

C) A member or candidate may arrange for current clients to switch to the Korthauer Tautology Fund, provided clients are informed of the incentive bonus.

Explanation

A member or candidate may not solicit current clients away from their current employer under Standard IV(A): Loyalty.

(Module 20.6, LOS 20: IV(A))

Question #34 of 40

Question ID: 1675698

Grant Starks, CFA, has been working for Advisors, Inc., for eight years. Starks is about to start his own money management business and has given his two-week notice of his resignation. A few days before his resignation takes effect, a current client of Advisors calls him at his office to inquire about some services for her account at Advisors. During the conversation, Starks tells the client that his new business will have lower commissions than Advisors. Starks has *most likely* violated:

A) Standard IV(A): Loyalty to Employer.

B) Standard VI(B): Priority of Transactions.

C) Standard V(B): Communication with Clients and Prospective Clients.

Explanation

This is a breach of loyalty to his current employer. By telling a current client of his employer about the lower commissions he will charge in his new business, Starks is placing himself in direct competition with Advisors, and this is a violation of Standard IV(A).

(Module 20.6, LOS 20: IV(A))

Question #35 of 40

Question ID: 1675709

An analyst belongs to a nationally recognized charitable organization, which requires dues for membership. The analyst has worked out a deal that he provides money management advice in lieu of paying dues. For this arrangement to comply with the Standards, the analyst needs consent from:

A) his supervisor in the organization only.

B) both his supervisor in the organization and his regular place of work.

C) his supervisor in his regular place of work only.

Explanation

An employee-employer relationship does not necessarily mean monetary compensation for services. If the analyst is performing services for the organization, then the analyst must treat the position as if he were an employee and obtain consent from both his supervisor in the organization and in his regular place of work.

(Module 20.6, LOS 20: IV(B))

Question #36 of 40

Question ID: 1675714

An analyst needs to inform his supervisor in writing of which of the following?

A) Both an annual bonus sent to an analyst by a client that varies with the performance of the client's portfolio, and a client and analyst alternating paying for lunch.

B) A client and an analyst alternating paying for lunch at a local sandwich shop.

C) An annual bonus, sent to an analyst by a client, that varies with the performance of the client's portfolio that the analyst manages as an employee even though no verbal or written agreement exists about the bonus.

Explanation

Standard IV(B) requires that members disclose to their employer in writing all benefits that they receive in addition to their regular compensation for services they perform on behalf of their employer. Because the bonus varies with the performance of the client's portfolio, there is a clear link to the services of the analyst. The analyst is not required to report the lunch because it is not linked to performance.

(Module 20.6, LOS 20: IV(B))

Question #37 of 40

Question ID: 1675717

Sharon West is a CFA charterholder and trust officer for REO Trust Company (REO). Soon after beginning work for REO, West finds that REO has been conducting all its securities transactions through her brother, who is a registered representative. West's brother charges REO commissions that are equal to the lowest available from another broker. West's brother tells her that if she continues doing business with him, he will give her a substantial discount on all personal transactions she conducts through him. West:

A) does not need to inform her employer of the arrangement because the commissions her brother charges the firm are the lowest possible.

B) must inform her employer of the arrangement because she is doing business with a member of her immediate family.

C) must inform her employer of the arrangement because it provides her with additional compensation.

Explanation

Members are required to disclose to their employer in writing all monetary compensation or other benefit they receive in addition to the employer's compensation. The discounting of West's commissions is a benefit that must be disclosed.

(Module 20.6, LOS 20: IV(B))

Question #38 of 40

Question ID: 1675719

Jane Talbot, CFA, is a portfolio manager at Cavalier Investments. Talbot manages the account of Wendall Wilcox. The performance of Wilcox's portfolio has been below that of the benchmark portfolio, the S&P 500, for the past several years. In an effort to enhance his portfolio's performance, Wilcox offers to pay Talbot $2,000 each year that his portfolio's return exceeds that of the S&P 500. Wilcox suggests that this arrangement lasts for the next three years. The amount that Wilcox agrees to pay Talbot is in addition to the compensation that Talbot will receive from his employer and the standard fee that Wilcox will pay Cavalier for managing his portfolio over the three-year period. Talbot agrees to the arrangement proposed by Wilcox and informs Cavalier in writing of the terms of the agreement under which she will receive additional compensation. According to CFA Institute Standards of Professional Conduct, Talbot must disclose:

A) both the nature and amount of compensation.

B) the nature of the compensation only.

C) the nature and amount of compensation, plus the duration of the agreement.

Explanation

Procedures for compliance for Standard IV(B) indicate that the written report should state the terms of any oral or written agreement under which Talbot will receive additional compensation, including the nature of the compensation, the amount of compensation, and the duration of the agreement.

(Module 20.6, LOS 20: IV(B))

Question #39 of 40

Question ID: 1675725

For years, John Berger, a CFA charterholder and CEO of a company, relied upon a set of reasonable procedures for preventing violations of the Code and Standards of Professional Conduct in the firm. To comply with the Standards, Berger must:

A) only ensure the procedures are monitored and enforced. ✗

B) both periodically review the procedures and ensure the procedures are monitored and enforced. ✓

C) do nothing more than have the set of procedures in place as stated. ✗

Explanation

As a CEO, Berger is responsible for implementing and maintaining appropriate compliance procedures. He must also ensure the procedures are monitored and enforced.

(Module 20.6, LOS 20: IV(C))

Question #40 of 40

Question ID: 1675720

Karen Dalby, CFA, volunteers on her church's finance board but receives no cash compensation, so she does not report the arrangement to her employer. Board compensation is limited to an annual retreat to Hawaii, but the accommodations are modest. Dalby does not enjoy the retreat and often considers skipping the event entirely. Dalby is *most likely*:

A) not in violation of the Code and Standards. ✗

B) in violation of Standard IV(B): Additional Compensation Arrangements. ✓

C) in violation of Standard IV(A): Loyalty. ✗

Explanation

Dalby is in violation of Standard IV(B): Additional Compensation Arrangements. Nonmonetary compensation may still create a conflict of interest.

(Module 20.6, LOS 20: IV(B))